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Tencent Holdings (0700.HK)

Takeaways from Management/Investor Webinar (Post 1Q26 Result)

CITI'S TAKE

On May 14, we hosted Tencent's HK Investor Webinar with CSO James Mitchell and CFO John Lo. Key discussions included: 1) thoughts on compute and memory constraints; 2) capex spend to increase in 2H26 and allocation priority of GPUs; 3) comment on Hy3, WorkBuddy, CodeBuddy and agentic AI; 4) capital allocation and share buyback; 5) domestic gaming revs vs gross receipt growth and 6) marketing services revs and GpM. Coming away from the meetings, inline with what we observed during [earnings call](#), management indeed sounded confident with the notable performance improvements of its Hy3 model given high token usage and close integration with key internal products. Mgmt is optimistic on its AI progress and confident with the near-term plans of scaling Hy3 to larger models, on-going progress of agentic AI for WeChat through leveraging live use cases and feedback from internal business/products. Reiterate Buy and TP of HK\$763,

Compute and memory constraints easing- As the fab production capacity for domestic chips eases off gradually, mgmt expects the delivery of domestic chips to pick up and expect capex spend in 2H to be higher. Benefiting from strategic long-term relationship with global memory suppliers and increase availability of domestic memory shipment, mgmt believes Tencent is positioned relatively better to navigate through the memory constraints.

Capex usage priority – GPU allocation will continue to prioritize internal usage especially for Hy3, WorkBuddy, CodeBuddy and Ad-Tech. With increase delivery of domestic GPUs into 2H26, mgmt believe it could start to deploy for external revs through Tencent Cloud offering and expect it to benefit business services revenues.

Hy3, WorkBuddy and Agentic AI – With a rising enterprise/prosumer demand on productivity services following proliferation of agentic AI, Tencent has made breakthroughs in launching CodeBuddy and WorkBuddy with substantial agentic use cases. With higher paying willingness of WorkBuddy by high-power users, mgmt expects AI products to become a key revs generator for Tencent Cloud and expect token-related revs to become increasingly substantial in 2026 riding on the ramp of WorkBuddy and CodeBuddy adoption. Specifically, with WorkBuddy leading in agentic AI deployment, measured by DAU, mgmt believes high-power users of the product will result in higher paying ratio than typical consumer subscription service like music, video or even gaming, leading to high-quality token-based revenues for the company. In fact, latest token consumption metrics tracked by OpenRoutes (Figure 1 & 2) pointing to 2.68trn token used for Hy3 preview as of week of May 4th and Tencent capturing 13.7% token consumption market share, higher than DeepSeek at 11.6%, Qwen at 5.1% and other Chinese models.

Capital allocation and share buyback – Capex and buyback are important uses of capital especially as management views the current Tencent share price as

Buy

Price (14 May 26 16:10)	HK\$460.20
Target price	HK\$763.00
Expected share price return	65.8%
Expected dividend yield	1.1%
Expected total return	66.9%
Market Cap	HK\$4,196,100M US\$535,897M

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dislocated. Mgmt sees this as opportunistic timing to step up more aggressively on its buyback efforts, and if necessary, mgmt is willing to tap into its investment portfolio to fund its share buyback.

Domestic gaming revs vs gross receipt growth – Despite record gross receipts from several key evergreen titles in 1Q26, given later-than-usual CNY holiday this year (mid-Feb), management noted that the deferred revenue will likely be recognized throughout 2Q–4Q26, as most of the key games have 6–9 month accrual cycles. In other words, this may translate into a possible tailwind entering 2H26. Management believes both gaming DAU and monetization will benefit from the deployment of AI, which will accelerate in-game content creation.

Marketing services revs and GpM – Ad revenues growth accelerated from 17% yoy in 4Q25 to 20% yoy in 1Q26 attributed to increased inventory in VA, traction of AIM+, higher eCPM, etc. However, gross profit of marketing services grew slightly slower at 19% yoy due to higher costs including AI-related equipment depreciation, associated operating costs and investment to upgrade ad-tech and content recommendation. Management noted it will continue to invest in ad-tech to deliver more relevant content recommendations in future.

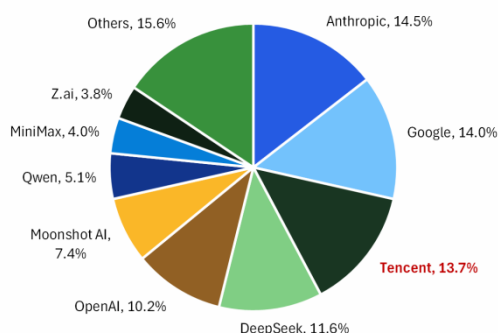
Figure 1. Weekly usage of models across OpenRouter (week of May 4, 2026, trn)

Rank	Lab	Model	Token used (trn)
1	Tencent	HY3 Preview	2.68
2	Moonshot	Kimi K2.6	1.61
3	Anthropic	Claude Sonnet 4.6	1.45
4	Anthropic	Claude Opus 4.7	1.24
5	DeepSeek	DeepSeek V4 Flash	1.11
6	Google	Gemini 3 Flash Preview	1.07
7	DeepSeek	DeepSeek V3.2	0.87
8	Tencent	HY3 Preview (free)	0.86
9	DeepSeek	DeepSeek V4 Pro	0.82
Others			14.00
Total			25.70

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Source: OpenRouter, Citi Research

Figure 2. Token usage share across OpenRouter by model author (week of May 4, 2026)



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Source: OpenRouter, Citi Research

Tencent Holdings

Valuation

Our target price of HK\$763 is based on a SOTP approach, which implies 23.0x 2026E and ~21.7x 2027E P/E. Our SOTP is based on the following: 1) Online games – We apply a 12x P/E to our 2027 estimated games net profit of Rmb134bn and yield a valuation of HK\$194 per share, or 25% of our target price; 2) Online advertising – We apply a 20x P/E to our 2027 estimated ads profit of Rmb84bn which yields a valuation of HK\$202 per share, or 26% of our target price; 3) Social network – While we attribute the non-gaming revs (community platform revs) as overall social network revs, given the WeChat, QQ, and other Tencent apps, we apply a 25x P/E to the estimated profit of Rmb62bn and yield a valuation of HK\$187 per share, or 24% of our target price; 4) Fintech – We apply a 15x P/E to our estimated profit of Rmb49bn and yield a valuation of HK\$88 per share, or 12% of our target price; 5) Cloud/business services – We apply a 5x P/S (average of China peers) to our 2027 estimated Business services revs of Rmb70bn, which yields a valuation of HK\$42 per share, or 6% of our target price; 6) Investment portfolio – We apply a 30% discount to the equity stake in the publicly listed investment portfolio which implies HK\$51/share.

Risks

Downside risks that could prevent the Tencent shares from reaching our target price include: i) a faster-than-expected revenue slowdown in core PC games; ii) unsuccessful launches of new mobile games; iii) a decline of Honor of Kings ranking and momentum; iv) a further slowdown in China's economy, which might negatively affect advertising demand; and v) a change in the regulatory environment.

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Appendix A-1

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Tencent Holdings (0700.HK)

Ratings and Target Price History
Fundamental Research

Analyst: Alicia Yap, CFA



Date	Rating	Target Price	Closing Price
1 17-May-23 17:32:20	1	*506.00	342.80
2 01-Aug-23 12:44:09	1	*491.00	354.00
3 16-Aug-23 17:24:35	1	*496.00	328.80
4 15-Nov-23 18:02:07	1	*497.00	322.60
5 25-Jan-24 16:53:37	1	*455.00	290.80
6 20-Mar-24 17:30:22	1	*459.00	288.80
7 15-May-24 11:33:19	1	*515.00	381.80
8 14-Aug-24 16:25:06	1	*527.00	373.80

Date	Rating	Target Price	Closing Price
9 29-Sep-24 20:19:06	1	*535.00	437.80
10 10-Oct-24 13:59:11	1	*573.00	438.80
11 13-Jan-25 15:52:08	1	*563.00	366.00
12 26-Feb-25 16:59:25	1	*648.00	501.50
13 19-Mar-25 19:00:37	1	*681.00	540.00
14 28-Apr-25 16:14:07	1	*670.00	478.20
15 14-May-25 17:10:11	1	*695.00	521.00
16 28-Jul-25 17:17:28	1	*699.00	555.50

Date	Rating	Target Price	Closing Price
17 13-Aug-25 17:51:56	1	*735.00	586.00
18 13-Nov-25 18:35:44	1	*751.00	656.00
19 22-Jan-26 17:55:08	1	*783.00	597.50
20 18-Mar-26 18:21:03	1	*787.00	550.50
21 19-Apr-26 21:30:13	1	*783.00	510.50
22 13-May-26 17:53:36	1	*763.00	462.60

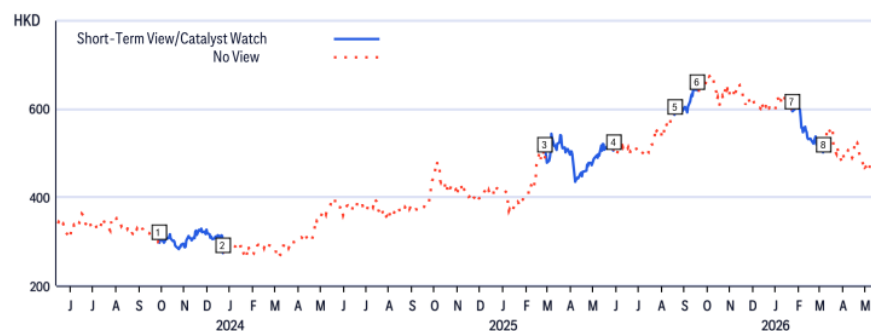
*Indicates Change

Rating/target price changes above reflect Eastern Time

Tencent Holdings (0700.HK)

Short-Term View/Catalyst Watch Research

Analyst: Alicia Yap, CFA



Date	Action	Expected Direction	Duration	Closing Price
1 27-Sep-23 10:00:45	Add CW	Upside	90 Days	302.00
2 26-Dec-23 22:12:21	Remove CW	Upside	90 Days	274.00
3 26-Feb-25 11:59:25	Add CW	Upside	90 Days	501.50

Date	Action	Expected Direction	Duration	Closing Price
4 28-May-25 00:26:38	Remove CW	Upside	90 Days	506.00
5 18-Aug-25 01:44:53	Add STV	Upside	30 Days	587.00
6 18-Sep-25 00:18:16	Remove STV	Upside	30 Days	642.00

Date	Action	Expected Direction	Duration	Closing Price
7 22-Jan-26 12:55:08	Add CW	Upside	90 Days	597.50
8 05-Mar-26 02:14:38	Remove CW	Upside	90 Days	502.00

CW - Catalyst Watch, STV - Short-Term View

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